Place — Distribution Channels

Unit 1 · 1.3.3.5 Distribution (place)

Place gets the product from producer to final customer. A **distribution channel** is the link between production and consumption; each layer that helps move the product is a **channel level**.

The three channels

- **Four-stage (indirect)** — producer → wholesaler → retailer → consumer. Suits mass producers like Coca-Cola; wholesalers break bulk for small shops, but each layer takes a margin.
- **Three-stage (indirect)** — producer → retailer → consumer. A big retailer like Carrefour buys in huge volumes, so it skips the wholesaler and cuts cost.
- **Two-stage (direct)** — producer → consumer. Firms like ASOS sell straight to customers, keeping full margin and control but handling all logistics.

E-tailing and changes in distribution

- **E-tailers** sell entirely online — Amazon (largest), ASOS, eBay, Etsy. Lower overheads and global reach, but heavy reliance on logistics.
- **Direct-to-consumer (D2C)** — producers cut out intermediaries, selling via their own site/app to keep profit, own the relationship and collect data (e.g. Nike app, NikePlus).

These changes raise customer convenience (shop anytime, home delivery) and can cut costs, but increase competition and make fast, reliable logistics essential to satisfaction.

Worked examples

- **MAC Cosmetics** — multi-channel: own stores, department stores, beauty retailers and online.
- **Nike** — moving to D2C: fewer, larger retailers plus its own app, cutting 60%+ of small retailers.
- **Ocado** — online-only grocer; the whole model depends on efficient home delivery.